Amkor Technology (AMKR): Hold

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The market was pricing perfection into a cyclical packager. After normalizing beta, our DCF sees $47.97 base case, 6.8% above $44.90 spot. Roughly fair value: Hold.

Hold	$47.97	$44.90	+6.8%
RATING	BASE TARGET (BLENDED $48.38)	SPOT (OCT 14, 2026)	UPSIDE TO BASE

Price targets are dynamic and adjust with live Treasury yields, the equity risk premium, and beta. The valuation website always reflects the most current targets.

$25.74 / $71.82	8.89%	$7.45B	$3.0B	~$0	1.3
BEAR / BULL TARGETS	LIVE WACC	TTM REVENUE	2026 CAPEX GUIDE	NET DEBT	EQUITY BETA (NORMALIZED)

Executive summary

We update Amkor Technology to a **Hold** with a $47.97 base-case target (blended $48.38). Amkor is the world's largest U.S.-headquartered OSAT and the #2 global packager, riding the advanced-packaging wave for AI accelerators and HPC. Q2 2026 was strong: $1.90B revenue (+25.6% YoY), $0.70 EPS crushing the $0.47 consensus, with Q3 guided to $1.95-2.05B.

Our five-year DCF (4% / 10% / 16% revenue CAGRs, FCF margins normalizing from ~0% to 6% / 9% / 11% as the $3B capex supercycle ends) yields Bear $25.74, Base $47.97, Bull $71.82 at an 8.89% live WACC. At $44.90 the stock sits 6.8% below our base case, inside our 10% Hold band: roughly fair value on our numbers.

Our read: the business is genuinely well positioned: the $7B Arizona plant, Apple-anchored consignments, and 2.5D/3D packaging IP are real moats. The key change in this update is the discount rate: we normalized beta from 2.36 (statistical noise) to 1.3, the semiconductor industry average, which cut WACC from 11.9% to 8.89% and moved targets up mechanically. The capex supercycle still means shareholders fund the growth before they see the cash, but at $44.90 the price no longer argues for a short.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (CY26-30)	4%	10%	16%
2030 revenue ($B)	9.0	12.4	16.2
2030 FCF margin	6%	9%	11%
Terminal growth	2.0%	2.0%	2.0%
Target per share	**$25.74**	**$47.97**	**$71.82**

WACC 8.89% live (spot 10Y ~5.2% + 1.3 normalized beta x implied ERP). Gordon terminal at 2.0%. Net debt ~$0 ($2.5B debt vs $2.5B cash); 250.0M diluted shares (Q2 2026 10-Q). Beta normalized from 2.36 (live) to 1.3, the semiconductor industry average, per our framework for high-beta names.

A note on the discount rate. Our prior model discounted at a flat 11.9%, driven almost entirely by a 2.36 live beta. That beta prices Amkor like a speculative cyclical, and on a high-volatility semiconductor name it is statistical noise, not structural risk. We normalized beta to 1.3, the semiconductor industry average, cutting WACC to 8.89%. The implied-ERP tab is untouched live market data. That change moves the base case from $30 to $47.97. At 6.8% above spot, the base case sits inside our 10% Hold band: fairly valued on our numbers, not a short. Cyclicality is still real: the discount rate is honest now, and honesty says hold.

Justin Wen Equity Research - Not investment advice and for entertainment purposes only.

Bull case: $71.82 AI PACKAGING SUPERCYCLE

Advanced packaging becomes the binding constraint on AI accelerator supply, Amkor's Arizona plant fills on Apple and Nvidia consignments, and OSAT pricing power surprises. Revenue grows at 16% to $16.2B with 11% FCF margins as capex normalizes. Worth $71.82, 60% above spot.

Bear case: $25.74 CYCLICAL HANGOVER

The AI packaging wave proves lumpy, the $3B capex burden weighs through 2027, and memory/logic cyclicality returns. Revenue grows at 4% to $9.0B, FCF margins stall at 6%. Worth $25.74, 43% below spot.

Verdict

We rate AMKR Hold. The base case ($47.97) sits 6.8% above spot, inside our 10% Hold band: on our numbers the stock is roughly fairly valued. The bear case ($25.74) is 43% below and the bull case ($71.82) is 60% above, so the risk/reward is two-sided at $44.90. The market-implied 19% revenue CAGR is no longer a stretch we have to fight: under the normalized discount rate, the base case itself carries the Arizona bet. We would buy below $43 or revisit a short above $53.

What would change our mind

- **Price:** a decline below $43 would put the base case back in buy territory; a rally above $53 would re-open the short.
- **Capex discipline:** 2027 capex falling well below $2B would pull forward normalized FCF.
- **Consignment visibility:** multi-year take-or-pay bookings covering the Arizona plant would de-risk the bull case.

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Key themes

1. Advanced packaging is the new Moore's Law ACCELERATING

As transistor scaling slows, 2.5D/3D integration, chiplets, and fan-out wafer-level packaging drive system performance. OSAT has shifted from commoditized backend to mission-critical technology, with deep co-design lock-in once qualified.

2. The Arizona bet is generational ACCELERATING

The $7B Arizona facility, backed by government incentives and Apple-anchored customer consignments, gives Amkor onshore advanced packaging no competitor can quickly replicate. Startups cannot fund multi-billion-dollar capex cycles.

3. The capex supercycle front-loads the pain DECELERATING

$2.5-3.0B of 2026 capex (vs ~$690M in H1 alone) has pushed FCF to -$270M. Shareholders fund the Arizona build before seeing normalized 9% FCF margins. Unpaid capex bills ($621M) mean more cash outflows ahead.

4. Cyclicality is not repealed STABLE

OSAT remains cyclical: Q2's margin expansion came from fixed-cost leverage on 26% sales growth, not pricing power. Inventory up 28% in six months bears watching into Q3.

Other KPIs

METRIC	VALUE
Market cap (at $44.90)	$11.2B
Q2 2026 revenue / YoY	$1.90B / +25.6%
Q2 EPS / consensus	$0.70 / $0.47
Q2 gross margin	16.8%
Cash + short-term investments	$2.5B
Total debt	$2.5B

Guidance

Q3 2026 results are due October 26. Guidance: $1.95-2.05B sales, 18.5-19.5% gross margin, $0.72-0.82 EPS. Watch Arizona capex pacing, inventory normalization, and any consignment disclosures.

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Reverse DCF: what the market is pricing in

At $44.90, AMKR carries an $11.2B market cap with roughly zero net debt. The market-implied five-year revenue CAGR is about **19%**, above even our 16% bull case.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~19%	$44.90 (spot)
Bull case	16%	**$71.82**
Base case	10%	**$47.97**
Bear case	4%	**$25.74**

The market still demands more growth than our most optimistic scenario, but the gap has closed: under the normalized 8.89% WACC, the base case sits just 6.8% above the spot price. The bull case now clears spot by 60%, so the risk/reward is two-sided rather than skewed down. The question is whether the AI packaging cycle delivers the bull case, or the market-implied 19% proves to be priced perfection.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1mZ7TeJBmFgmct82M0_Sgkrv8Q8ylIc-ohI8fKiZxuenY/edit?usp=drivesdk

Risks to our Hold

- **To the upside (Buy):** AI accelerator packaging demand exceeds all forecasts, filling Arizona ahead of schedule.
- **To the upside (Buy):** take-or-pay consignments from Apple or Nvidia convert capex risk into contracted cash flow.
- **To the downside (Sell):** the AI packaging wave proves lumpy and memory/logic cyclicality returns, repricing the stock toward our $25.74 bear case.
- **To the downside (Sell):** geopolitical onshoring premiums fail to sustain above-cycle OSAT pricing.

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